

Mark schemes

1.

- inflation, with an explanation perhaps in terms of official UK measurement, how measurement is arrived at, recent experiences, other relevant factors

Explain causes of inflation, eg

included within **cost-push factors** could be:

- the rising cost of oil, which for many firms will be a significant cost of production. As oil costs rise, assuming no fall in other costs of the firm a decision has to be made that either profit margins be narrowed or prices of final output need to rise. One consideration will be the price elasticity of demand for the product in question, i.e. the more inelastic is demand, the more likely consumers will absorb any price increase
- wage costs
- supply-side weaknesses, eg low productivity
- imported inflation, perhaps via exchange rate depreciation

Included within **demand-pull factors** could be

- the demand-pull inflationary process
- the impact of monetary policy
- the impact of fiscal policy
- earnings growth

other factors could also be considered, eg

- expectations
- money supply / monetarist explanation

[15]

It is hoped that candidates will place the answer firmly into the context of the EU and not simply base the answer on the impact of the UK borrowing requirement, so that any final judgement is sufficiently comprehensive and relevant.

The issues identified below are intended to provide an indication of some of the areas which might be discussed. Candidates can only be expected to consider a few of these and / or other issues in the time available.

Issues and areas for discussion include:

Introduction	• government borrowing • budget deficit • PSNCR as one technical measure • the EU fiscal position as a whole • the Stability and Growth Pact • proposals for some regulation of fiscal policy independent of government • criteria for measuring the impact.
Developing the response to the question: Application	• line 3 reference to Keynesian economics and tolerance of deficits because of the benefits they can bring • lines 21-22 reference to the multiplier process and aggregate demand • lines 28-29 the potential impact of borrowing on interest rates and (line 40) on inflation • lines 36-39 EU fiscal stimulus counterbalancing any loss of business and consumer confidence
Developing the response to the question: Analysis	• the reasons behind the increased borrowing • the benefits of government spending • the benefits of tax cuts • the potential impact of increased borrowing on interest rates within the EU and whether greater differences emerge between interest rates in the euro area members of the EU and non-euro members of the EU • the dangers of 'crowding-out' of private sector activity amongst member countries • the uncertainty that increasing borrowing can create for households and businesses • the potential impact on the nation's international credit rating and hence on its ability to borrow in the future on favourable terms • the possibility of seeking help from, for example, the IMF and the impact of this • the economic pain associated with eventual remedial measures

	such as spending cuts and tax increases - the impact on the UK if EU fiscal expansion generally provides a stimulus to the UK economy - the impact on the value of the euro and the implications of this for the external value of the pound - any problems which emerge may become EU-wide problems making recovery even harder to achieve - measuring the impact in terms of growth, jobs and prices.
Evaluation	- the relevance of the scale of borrowing - assessment in terms of the net impact, eg do the benefits clearly outweigh any problems? - the economic context in which the borrowing is taking place, eg recession or recovery - whether the fiscal policy is accompanied by monetary expansion and the possible impact of this combination of expansionary policy - the perceived costs associated with fiscal balance or surplus - the speed with which borrowing can be reduced - the confidence that households and businesses have in government efforts to stabilise the fiscal position - whether the EU is at one with fiscal policy around the world or very much out on a limb. <i>Examiners should note that it may be possible to award some marks for basic evaluation such as for a general account of the pros and cons of borrowing, or of higher public spending and / or higher taxation, but with no attempt to place it into the context of the UK and the EU. However, this must be considered as low-level evaluation and awarded accordingly. If these pros and cons are put into the context of the UK and EU, perhaps with an explicit attempt to prioritise, greater credit can be given.</i>
Also give credit for:	- relevant use of evidence and examples not contained in the data - diagrams - an overall judgement on the issues raised

[25]

4.

For candidates who:

Explain

- by first defining the multiplier, eg the amount by which an increase in injections into the circular flow of money will increase total income in the economy
- by referring to the various injections into the circular flow and perhaps providing the contrast with leakages or withdrawals
- by providing a formula or formulae
- the process by relating the multiplier to aggregate demand, GDP etc.

Analyse the impact on unemployment, eg:

- the multiplier may be initiated by an increase in government capital expenditure, eg on road building. This not only creates jobs in the road-building sector but, as these workers begin to spend their income, jobs are also created in other sectors and so unemployment in the economy can be reduced
- exports and job creation
- private sector investment and job creation
- income changes across the economy.

Analyse the impact on economic growth, eg:

- if the multiplier serves its purpose and stimulates AD, by increasing incomes and household consumption, this will stimulate domestic production to some extent and this will cause a rise in actual growth as measured by GDP
- the impact of an investment-induced multiplier on AD and on productive capacity, and hence potential growth
- the impact of an export-led multiplier on AD with the potential for supply-side benefits also
- to the extent that the multiplier process may help sustain AD, it will make it less likely that capacity will be 'destroyed', eg plant being scrapped, and this may have beneficial consequences for future economic growth.

Reward references to the UK / other economies

[9]

5.

The issues identified below are intended to provide an indication of some of the areas which might be discussed. Candidates can only be expected to consider a few of these and / or other issues in the time available.

Issues and areas for discussion include:

Introduction	• sustained economic growth • living standards • reference to general living standards in the UK • criteria on which judgements are to be made.
Developing the response to the question: Application	• line 5 GDP per capita as a basic measure of living standards; higher growth may lead to higher GDP per capita in the UK • lines 17-19 references to aspects of the quality of life, which may or may not benefit from economic growth • lines 29-31 Africa as a major supplier of raw materials which could facilitate UK economic growth and thus impact on living standards • lines 36-37 Africa as a potential competitor to the UK in the world economy with a possible adverse impact on UK growth and living standards • discussion of whether both can be pursued at once
Developing the response to the question: Analysis	• how UK manufacturing might benefit from African demand for manufactured goods and components and hence contribute to economic growth • the potential, eventual competition for UK manufacturing and a consequent adverse impact on growth • the potential benefits to UK financial services helping African development, providing further stimulus to this traditionally successful growth sector • investment opportunities opening up in Africa • greater accessibility to African raw materials and energy supplies, helping to facilitate UK economic growth • benefits to other UK services, e.g. tourism • an assessment of the net effects on UK economic growth and therefore on living standards • the impact on employment, the more successful and competitive Africa becomes, and hence on average incomes • the possible adverse impact on manufacturing regions of the UK, while more service based regions may benefit, so adversely affecting disposable income in the former • the overall impact on income per head depending on the UK response to developments in Africa • the impact on UK living standards if African development begins to

	allow successful encroachment on other UK markets • growth and the quality of life, allowing a widening out of the discussion on living standards.
Evaluation	• a comparison of short run and long run effects • the economic changes in Africa may be so gradual and piece-meal as to have little measurable impact on the UK • however, countries such as Mozambique growing rapidly in the last decade, albeit from lowly positions, may bring pressure to the developed world sooner than was originally thought • the net effect may be small if Africa compensates for the decline of other UK markets (temporary or permanent) • the potential benefits of African expansion in the context of UK recession, opening up markets which had not been envisaged just a few years earlier • the difficulty of making generalisations, eg parts of Africa providing new sources of energy and raw materials to help UK growth while others begin to present competition for UK manufacturing • the possibility of having to avoid generalisations because of the diverse character of the continent, so that comments on the potential impact on the UK economy and its living standards are only pertinent to individual economies; stark contrasts between various parts of Africa are likely to persist • the possibility of complementarity, eg African expansion of secondary activities requiring and stimulating the UK tertiary sector. • the environmental impact and the increasing demand on resources arising from growth in Africa, possibly impacting on the UK, eg higher oil prices. <i>Examiners should note that it may be possible to award some marks for basic evaluation such as for a general account of the pros and cons of growth in the context of living standards, with no attempt to place it into the context of the UK / Africa and with only limited reference to living standards. However, this must be considered as low-level evaluation and awarded accordingly. Marginally more credit could be given to this type of evaluation if placed in the context of the countries concerned.</i>
Also give credit for:	• relevant use of evidence and examples not contained in the data • diagrams • an overall judgement on the issues raised

6.

For candidates who:

Explain the term economic growth, eg

- define the term by referring to a rise in real GDP
- refer to actual growth and / or a rise in the productive capacity of the economy with reference to potential growth
- explain the term with reference to long-run aggregate supply and / or an economy's production possibility frontier
- make further reference to the measurement of GDP by considering the various components and the significance of 'real'.

Analyse **two** causes of economic growth, eg

- investment which can have consequences for the supply-side and demand-side of an economy by increasing productive capacity and by contributing to aggregate demand respectively
- stimuli to aggregate demand
- productivity
- innovation and technological change
- government policy
- increasing the volume of resources
- improving the quality of resources, eg training of labour
- a reallocation of resources between different sectors of the economy
- improving general efficiency and competitiveness
- general improvement in the supply side of an economy.

[9]

**8.**

The issues identified below are intended to provide an indication of some of the areas which might be discussed. Candidates can only be expected to consider a few of these and/or other issues in the time available.

Issues and areas for discussion include:

Introduction:	• the balance of trade in goods and services • the balance of payments accounts • surplus/deficit.
Developing a response to the question:	• supply-side policies • exchange rate manipulation • protectionist policies • controlling aggregate demand in order to constrain import growth and release more output to the export sector • adoption of an export-led growth strategy • control of inflation if this is perceived to be the cause of the problem • expenditure-switching policies compared to expenditure-dampening policies.
Evaluation:	• the need to distinguish between those policies which offer a possible short-term improvement and those which offer a potential cure for the problem in the long term (e.g. a reference to expenditure-dampening v expenditure switching). • the need to distinguish policies which can be regarded as realistic in the current climate, e.g. supply-side policies, from those which might be politically unacceptable, e.g. protectionism • some policies may not bring immediate improvement, eg the long-term nature of supply-side policies; exchange rate manipulation and the J-curve effect • there may be less significance attached to the deficit if it is seen as part-and-parcel of a maturing economy which, although successful in the trade in services, has lost much of its industrial base, thus needing to import more finished goods • the underlying issue of whether or not a deficit really matters if it does not impede economic growth and job creation and does not damage investor and business confidence.
Also give credit for:	• relevant use of evidence and examples from the UK / other economies

[25]

The issues identified below are intended to provide an indication of some of the areas which might be discussed. Candidates can only be expected to consider a few of these and / or other issues in the time available.

Issues and areas for discussion include:

Introduction:	• macroeconomic objectives in contrast to microeconomic • the meaning of conflicts between macroeconomic policy objectives • how objectives might be ranked in order of importance by any one government
Developing a response to the question:	• examples of potential conflict, eg ◦ economic growth and price stability ◦ full employment and price stability ◦ demand-led growth and the balance of payments on current account ◦ attempted corrections to the balance of payments deficit on current account and economic growth and / or employment • the differing impact of expenditure-switching and expenditure-dampening policies • supply-side policies
Evaluation:	• some ways of trying to reconcile conflict may not be politically expedient, eg increasing unemployment in order to control inflation • government may attempt to reconcile conflict through fine-tuning which does not have a good track record • conflict can be short term, supply-side remedies long term • limiting growth in order to stabilise prices might harm material living standards • supply-side improvements may be made, eg productivity, but may not bring a reduction of conflict if other countries have seen improvements to a greater extent, eg economic growth increases the flow of imports. An export drive to balance this may be unsuccessful if our productivity improvement is outpaced by that in other countries. • the rate of inflation may be controlled but inflation may still be higher than in the economies of our trading partners, perhaps limiting the desired improvement to the current account (inflation having caused a deterioration) • the policy constraints for members of the eurozone which won't apply to those members of the EU, including the UK, who have not adopted the euro
Also give credit for:	• relevant use of evidence and examples from the UK / other economies

10.

For candidates who:

Define/explain

- exports/imports
- balance of trade in goods and services
- define / explain the term global investment, eg expenditure to generate future income; spending on capital equipment to increase output, perhaps to displace labour; human capital
- the balance of trade in goods and services in the context of the current account or the balance of payments as a whole
- the possible nature of a country's exports and imports given its own stage of development
- the UK may adopt a strategy of export-led growth. This may be because it is perceived as the most rapid way of achieving economic growth and/or because it feels itself to be very competitive in world markets. It may recognise that a good export performance will initiate a multiplier effect which should benefit the economy beyond the export sector and that exports may well encourage supply-side improvements such as innovation and higher productivity to sustain good external performance
- favourable terms of trade (examiners note that this term is not included in the specification but candidates may well discuss relative export/import prices even if the term is not used)
- the need for imports of raw materials, energy and/or finished goods, e.g. because the UK has lost so much of its industrial base
- a sustained favourable exchange rate motivates an export drive
- absolute/comparative advantage, e.g. UK comparative advantage in financial services
- the impact on UK exports of overseas recession, especially the US and the EU as far as the UK is concerned
- exchange rate movements
- relative inflation rates
- relative rates of productivity (traditionally unfavourable for the UK) and impact on competitiveness
- the ability of the UK to impose protectionist policies

[15]

11.

The issues identified below are intended to provide an indication of some of the areas which might be discussed. Candidates can only be expected to consider a few of these and / or other issues in the time available.

Issues and areas for discussion include:

Introduction:	• reference to the quote in the question • the recent experience of rising oil prices • criteria for assessing macroeconomic performance
Developing a response to the question:	• the implications of this for the pattern of production • consequences for the balance of payments on current account • inflation • the impact of inflation on jobs • the impact of inflation on economic growth • rising oil prices and business and consumer confidence • implications for government revenue and expenditure • the impact on export performance
Evaluation:	• whether the oil price increases are simply building on past price increases or whether they represent a supply-side shock of which there has been little or no recent experience • whether or not petrol taxes are reduced to compensate for higher oil prices • mature economies having less dependency on oil • whether price increases are sustained over a long period of time • whether, as in the UK's case, an economy is also an oil exporter as well as an importer • whether rising economic growth and inflation-reducing forces are in evidence to dull the impact of rising oil prices
Also give credit for:	• relevant use of evidence and examples from the UK / other economies • diagrams

[25]



12.

Define the concept of macroeconomic policy objectives in terms of reference to the criteria by which macroeconomic performance is measured

Explain macroeconomic policy objectives, e.g.

- economic growth can be defined as increases in the productive capacity of an economy. Such increases will determine the long-run trend rate of growth and will shift the LRAS curve and the PPC to the right. Actual growth can be measured by GDP
- price stability
- full employment or low unemployment
- improving the performance of the balance of payments on current account
- exchange rate stability
- fiscal stability

Explain the importance of macroeconomic policy objectives to an economy, eg

- price stability and international competitiveness
- economic growth and living standards
- the balance of payments on current account
- the importance of reducing unemployment
- an essential requirement for efficient policy making
- they establish benchmarks against which the authorities, NGOs, economists, business can measure success / failure within the economy
- they allow policies to be formulated in good time if objectives seem increasingly unlikely to be met
- because of the inherent weaknesses there may be in an economy, it is vital to have objectives which give a sense of direction and which provide the prospect of being able to remedy those weaknesses
- if achieved, they create a stable economic climate for the private sector

[15]

For

- defining supply side or supply-side factors
- government policy or business initiatives
- defining economic growth or sustained economic growth
- explaining the connection between supply-side factors and sustained economic growth, ie supply-side generated growth is less likely to bring conflict with other objectives.

Supply-side factors will have an impact on both the long- and short-run aggregate supply curves of an economy shifting them to the right, indicating that the productive potential of the economy has increased. The production possibility frontier will also shift to the right, indicating that the economy has gained more resource or is using existing resources more efficiently. The trend rate of growth should therefore show an improvement.

The impact of investment.

The impact of productivity.

Education and Training.

Welfare Reform.

Occupational and geographical mobility.

Any other valid point.

Use of diagrams to help support explanations, e.g. AD/AS, PPF

Reward references to the UK economy.

Where a candidate does little more than list a number of supply-side factors in the explanation, award a maximum of 7 marks for the answer as a whole.

[15]

It is hoped that candidates will clarify the criteria by which consequences can be measured and then relate China's growth to the performance of the UK economy in an evaluative way.

The issues identified below are intended to provide an indication of some of the areas which might be discussed. Candidates can only be expected to consider a few of these and / or other issues in the time available.

Issues and areas for discussion include:

Introduction:	• recession • economic growth • criteria for assessing consequences
Developing a response to the question:	• reference to the growth performance of the Chinese economy • reference to the problems of the UK economy • why continued growth of a major economy may be important to another country in recession • economic growth • the balance of payments • employment / unemployment • investment flows • inflation • China's growth perhaps causing inflation exacerbated by the UK pursuing a potentially inflationary policy of quantitative easing and fiscal expansion • the impact on the UK of China taking increasing control over world resources by its investment • China's contribution to the IMF which might ultimately be of benefit to the UK • impact on the exchange rate.
Evaluation:	• the extent to which China wishes to share the 'proceeds' of growth with other countries by importing more goods • although the phrase 'global recession' is used it may be that some other UK markets are not faring too badly, so making China's contribution to UK economic performance less significant • the ability of the UK to maintain / increase market share in China • China is pushing ahead with export-led growth which may not be in the long-term interests of UK manufacturing • the extent to which the UK economy welcomes Chinese investment in its economy and whether China reciprocates. <i>Examiners should note that it may be possible to award some marks for basic evaluation such as for a general account of the pros and cons of growth and with no attempt to place it into the context of the UK/China.</i>

	<i>However, this must be considered as low-level evaluation and awarded accordingly.</i>
Also give credit for:	• relevant use of evidence and examples not contained in the data • diagrams

[25]

15.

The issues identified below are intended to provide an indication of some of the areas which might be discussed. Candidates can only be expected to consider a few of these and / or other issues in the time available.

Issues and areas for discussion include:

Introduction:	• common macroeconomic policies • economic recovery • the significance of the rest of the EU to the UK • the criteria by which the impact on the UK economy might be assessed.
Developing a response to the question:	• the implications for economic growth • the impact on employment / unemployment • the consequences for the balance of payments on current account • the effects on the £ / € exchange rate • the greater likelihood of avoiding a period of deflation • the dangers of inflationary pressures building up • the further development of the SEM in a period of recovery and increasing prosperity.
Evaluation:	• the possible significance of a slow recovery • the possible supply problems if recovery is too rapid • whether the UK can take advantage of EU recovery • whether the advantage lies more with the rest of the EU in terms of exporting to the UK than for the UK exporting to the rest of the EU • the significance of EU recovery for the UK relative to recovery taking place elsewhere in the world, i.e. in markets which have significance for the UK • whether or not recovery has implications for the movement of labour in and out of the UK and how this affects the UK labour market.
Also give credit for:	• relevant use of evidence and examples not contained in the data • diagrams

[25]

Introduction	• macroeconomics • macroeconomic objectives • brief reference to relevant policies • the notion of 'conflict'.
Developing the response to the question: Application / Analysis	• long run v short run • potential conflict between economic growth and stable prices • potential conflict between economic growth and a healthy balance of payments on current account • inflation beginning to impede growth • inflation damaging employment prospects • inflation and the balance of payments on current account • attempts to correct a balance of payments on current account harming employment and growth, at least in the short term • attempts to stabilise prices causing harm to employment • attempts to achieve full employment causing inflation to rise (Phillips Curve analysis) • economic growth and the environment • economic growth and income distribution • the significance of the supply side in reducing or avoiding conflict • the possible need for compromise • use of diagrams • references to the UK and / or other economies.
Evaluation	• the idea that avoidance might be utopian in a complex modern economy • the acceptability of compromise between objectives – control rather than complete avoidance • the intensity of any problems arising from conflict • the degree of persistence of conflict or a short-term phenomenon • the importance of supply-side reforms and the time taken for them to become effective in the context of conflict • a particular objective may have key importance in an economy's economic strategy in a certain period of time and will be pursued for this reason irrespective of conflict and without any attempt made at avoidance • given any set of macroeconomic policies what is the net impact of them and is this acceptable? For example, limited environmental controls in the context of needing to secure economic growth • a final judgement on the idea of conflict avoidance.

Examiners should note that, for some of the weaker or average candidates, parts of the above represent quite sophisticated evaluation and so it is important to ensure that more basic evaluation is adequately rewarded where a genuine effort has been made to display that skill.

It will only be possible for candidates to consider a few of the above. They may also discuss other issues not mentioned above.

[25]

18.

Explanation:

explain the concept of global investment, eg

- define global investment in terms of international capital flows, perhaps with a reference to the role of multinational companies in this respect
- explain the growth of global investment, eg in terms of outsourcing, utilising cheap labour, establishing ownership of raw materials and energy supplies
- define / explain the term global investment, eg expenditure to generate future income; spending on capital equipment to increase output, perhaps to displace labour; human capital
- simply define global investment in terms of 'total investment in the world'.

Analysis:

explain the concept of global investment, eg

- it promotes economic growth in that it is an injection into the circular flow of income, generating higher AD through the multiplier process but also adding to the productive capacity of the recipient economy
- its impact on the further economic development of less-developed economies
- human capital formation helping to promote skills within a country's workforce
- financing innovation
- helping to improve productivity
- a general improvement in business efficiency

[9]

Introduction	- the economic cycle - the nature of a recovery - interest rates and the role of the MPC - brief reference to other policy options.
Developing the response to the question: Application / Analysis	- the relevance of interest rates to bringing about a recovery - consumer credit - investment - housing costs - aggregate demand - economic growth - unemployment - the limitations of interest rate policy - the function of other aspects of monetary policy, e.g. quantitative easing - the potential role of fiscal policy - the importance of a sound supply-side to underpin a recovery - the significance of business and consumer confidence - the potential significance of overseas markets - interest rate changes influencing “hot-money flows” , bringing instability which may impede a recovery but also of potential benefit ‘hot-money flows’ and the exchange rate - aspects of an economy which may not directly benefit from low interest rates, e.g. structural unemployment - use of diagrams - reference to the UK and / or other economies.
Evaluation	- the extent to which interest rates are allowed to fall - over what period of time low interest rates are tolerated - the support given, if at all, by other aspects of monetary policy - the limitations if, simultaneously, a tight fiscal policy is followed by government - the limitations if business and consumer confidence are very low - low interest rates used to bring about a recovery in an internationally hostile context - business and consumer concern over how long such a policy will be maintained - microeconomic policies may show themselves to be more effective

- 
- low interest rates as a cause of inflation which may impede the recovery
 - a final judgement made on the policy.

Examiners should note that, for some of the weaker or average candidates, parts of the above represent quite sophisticated evaluation and so it is important to ensure that more basic evaluation is adequately rewarded where a genuine effort has been made to display that skill.

It will only be possible for candidates to consider a few of the above. They may also discuss other issues not mentioned above.

[25]

21.

For:

- defining a recession
- placing a recession into the context of the economic cycle

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**For explaining four features of a recession:**

Higher unemployment much of which will be cyclical unemployment. As incomes fall in a recession there is less spending taking place which may mean less revenue and profits for firms. This will cause firms to begin to consider redundancies and those affected may find it difficult to find new jobs so unemployment rises.

A falling rate of inflation, or deflation.

Negative GDP growth.

Lower investment.

Deteriorating fiscal position.

Looser monetary policy.

Looser fiscal policy.

A squeeze on profits.

The impact on wages and firms' wage bills.

Declining business and consumer confidence.

An improvement on the current account of the balance of payments.

Impact on individual markets, e.g. housing.

Output gap

Any other valid feature.

Use of diagrams to help support explanations, e.g. the standard AD / AS diagram.

References to the UK and / or other economies.

[15]

Introduction	• criteria for measuring economic consequences • nature of potential problems • nature of potential opportunities • the EU • the issue of enlargement of the EU.
Developing the response to the question: Application	• Turkey's geographical position (line 3) • an expected population in Turkey of 100m by 2020 (line 10) • Turkey's vast economic potential (line 11) • Turkey's impressive growth for at least 5 years, 2002 – 2007 = 7% (lines 14 – 15), 2010 first quarter = 11% (lines 13 – 14) • Turkey's reputation for economic instability (line 20) • high inflation in some recent years in Turkey (lines 20-21) • an attractive centre for investment (line 24) • migration and the impact on UK PPF • consequences for UK AD as the EU expands • export-led multiplier.
Developing the response to the question: Analysis	• the diverse nature of member countries of the EU • the UK approach to the EU and to enlargement in particular • demands upon the EU budget and hence upon individual members • Turkey as part of the SEM and the likely flow of cheap imports to UK • cheap migrant labour impacting on the UK labour market and social and economic infrastructure • Turkey as an additional market for the UK • investment opportunities • investment income coming back to the UK • the benefits of its established links with Asia • UK economic growth • UK unemployment • UK balance of payments • UK inflation / deflation • reference to other economies • use of diagrams.
Evaluation	• Turkish membership may be seen as the "straw which breaks the camel's back" as EU enlargement gathers pace

- short term v long term considerations
- the ability of the UK to take up opportunities successfully
- the UK's possible inability to take up opportunities in the context of having to shoulder some of the problems which Turkey's membership may give rise to in the EU
- the possibility that the UK macroeconomic indicators do not all head in the same direction (for example, Turkey as a stimulus to economic growth but migrant labour causing an unemployment problem)
- the difficulty of giving "values" to pros and cons pre-membership and therefore being unable to take up a decisive stance with confidence
- the impact could change over time as circumstances change
- continuing enlargement, including Turkey, potentially providing ammunition to the Euro-sceptics in government and beyond causing the UK to remain by choice on the sidelines of the EU. An assessment of the significance of this issue for the UK
- a final judgement on the overall impact on the UK economy.

Examiners should note that, for some of the weaker or average candidates, parts of the above represent quite sophisticated evaluation and so it is important to ensure that more basic evaluation is adequately rewarded where a genuine effort has been made to display that skill.

It will only be possible for candidates to consider a few of the above. They may also discuss other issues not mentioned above.

[25]

23.

Explanation

For defining economic growth in terms of the additions to productive capacity and / or in terms of increases in real GDP; actual / underlying growth.

Production possibility frontier.

Output gaps.

Economic growth and economic cycles.

Use of relevant diagrams, e.g. PPF



Analysis of a cause of economic growth

Investment is an injection into the circular flow of income and will create productive capacity. This increases the ability to create final output as measured by GDP. It is also a component of AD and so as investment rises, all other things being equal, AD will rise.

Quantity of resources available.

Quality of resources.

Increases in AS

Increases in AD

Government policy impacting on AS and / or AD.

Technology / Research or Development

Productivity

Labour

Education and Training

Expanding export markets

Any other valid analysis

Use of appropriate diagrams, e.g. AD / AS, MEC (note – not on specification)

Reference to the UK economy in the analysis

[9]

24.

The calculation:

Value:

GDP @ current prices in 2008 = \$730bn

GDP @ current prices in 2009 = \$614bn

= % change of -15.9% (or -15.890411)

For the correct answer (working need not be shown) with negative sign shown **and** to at least one decimal place

or for answers which state that 2008 was 18.9% higher than 2009.

2 marks

For the correct answer without the negative sign (or without stating that it is a decrease in GDP) **and** to at least one decimal place.

1 mark

[2]

Introduction	• macroeconomic performance • the possible nature of major global events such as sports competitions, natural disasters and economic downturns.
Developing the response to the question: Application	• the stimulus to countries hosting major events benefiting other countries (lines 5-8) • the distinction between predictable and unpredictable events (lines 16-19) • the importance of such events forging stronger economic ties between countries (lines 13-15) • the need for a strong economy in order to take advantage of opportunities (lines 29-30) • US financial crisis (line 19) • the Japanese earthquake and tsunami in 2011 (line 23). • use of AD / AS analysis • the multiplier • economic cycle
Developing the response to the question: Analysis	• economic growth • stability of prices • employment / unemployment • the balance of payments on current and capital accounts • creating a strong economy in order to be able to respond to the stimuli of global events • the possibility of global events having a negative impact and the ability of an economy to respond • analysis of fundamental factors such as productivity, quality of resources, flexibility • references to the UK and / or other economies • use of diagrams.
Evaluation	• what we might regard as “significant” • what we decide to be the key measure(s) of “significance” • the likelihood of major global events not being good news, e.g. disruption to oil supplies • how we might be perceived to be economically weak by other countries because of our possible inability to play a key role as an event unfolds • is the impact of any major global event nothing more than transitory? • with so many potential “players” internationally any one country

	can't always expect to have a significant role to play • the short term impact of an "event" in contrast to long term sustaining of, and benefits from, trade and investment links • possible contrasting abilities to respond to positive events as opposed to negative ones or vice versa • a final judgement on the overall significance. <i>Examiners should note that, for some of the weaker or average candidates, parts of the above represent quite sophisticated evaluation and so it is important to ensure that more basic evaluation is adequately rewarded where a genuine effort has been made to display that skill.</i>
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It will only be possible for candidates to consider a few of the above. They may also discuss other issues not mentioned above.

[25]

28.

For

- defining unemployment
- making reference to official measures of unemployment
- explaining types of unemployment

The impact on AD as average incomes fall reducing household spending power and a consequent fall in confidence discouraging business investment. In contrast, AD will be influenced if businesses may make greater efforts to secure export markets, while government spending may increase to help the unemployed.

Changes in government spending and taxation and the economic impact of these.

Impact on government finances as spending increases but tax revenues fall.

Overall impact on economic growth.

The problem of rising inequality.

The waste of resources so that the economy operates at less than full capacity.

Any other valid point.

The effect on living standards generally as consumption of goods and services, such as food and alcohol, is curtailed. The quality of life is affected as spending limits are placed on, for example, heating and holidays. The type of housing may need to be reconsidered as a mortgage or existing rent become unaffordable.

The level of income in particular and the impact on living standards.

The reluctance to claim, but the necessity of claiming, welfare benefits – perhaps further demoralising the individual.

Lower morale, perhaps resulting from unsuccessful job search impacting on worker performance.

Lower morale, perhaps resulting from unsuccessful job search impacting on worker performance.

The dangers of long-term unemployment.

The need for geographical and/or occupational mobility (with implications for re-training).

Long-term financial implications in terms of savings and pensions.

Any other valid point.

Use of diagrams to help support explanations, e.g. AD/AS, PPF.

Reward references to the UK economy.

Where more than two problems are considered for either the individual or the economy, reward the best two problems.

Award a maximum of 10 marks if only the individual or the economy is considered.

[15]

Introduction	• sustained economic growth • public sector v private sector origins • private sector consumption • standard of living • measures of living standards.
Developing the response to the question: Application / Analysis	• higher living standards as the ultimate objective in securing sustained economic growth which will include, importantly, private sector consumption • the other benefits of growth in terms of the balance of payments on current account, the attractions of a growing economy to overseas investors, and to employment, but some of these ultimately have a link with private sector consumption • economic growth and material well-being • economic growth and the quality of life • economic growth and the increased resources available for environmental purposes • measures such as the Human Development Index showing that income per head is one small part of a bigger picture • reference to the UK and/or other economies • use of diagrams.
Evaluation	• the necessity of sustaining the growth process if there is to be a significant impact on income per head • negative economic growth causing average incomes to come under pressure • the motivation/reasons for securing sustained growth will vary with the individual country and government with the ultimate objective perhaps being more political rather than economic. • the weakness of certain aspects of the macroeconomy may be the reason for securing growth and the secondary impact on private sector consumption seen as a bonus • the benefits to income per head may pale into insignificance if sustained growth really has meant environmental protection and conservation of resources, rather than, as some view it, just growth without conflict with other macroeconomic objectives such as stable prices • individuals may welcome the initial boost to incomes but then recognise that this has come at a price in terms of their quality of life • a final judgement on whether sustained growth is really only sought for securing higher income per head.

Examiners should note that, for some of the weaker or average candidates, parts of the above represent quite sophisticated evaluation and so it is important to ensure that more basic evaluation is adequately rewarded where a genuine effort has been made to display that skill.

[25]

